

position. On one hand, it created a price floor in the stock. Icahn could then wait to see if other financial or strategic buyers stepped in with a higher bid to create a liquidity event for his position. If no other bidder emerged, Icahn could take the company private himself, providing liquidity to the other shareholders, and, presumably, getting it for cheap after demonstrating that no other bidder wanted such a moribund business. It was value investing in which the investor controlled his own destiny, and, as Icahn’s experience in Tappan and other early campaigns documented in a later Icahn partnership memorandum demonstrated, it worked:²²

TABLE 1.1 Icahn Partnership Memo: “Stock Prices During Unfriendly Maneuvers”

Target Company	Three Months Prior to Attempt at Target (\$)	High After Attempt (\$)
Warner Swasey	29	80
National Airlines	15	50
Wylain	13	28½
Flintkote	30	55
Fairchild Camera	29	66
Tappan	8	18

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What drew Icahn to Tappan? What did Kingsley see that others had missed? The stock had been savaged after it had posted its first loss in 40 years, the new business seemed to be a loser, and it was a tiny player in a market led by General Electric and Westinghouse, behemoths both. To understand Tappan and the strategy outlined by Icahn and Kingsley in the *Icahn Manifesto* that they used to such powerful effect, we need to begin with the great value investor and investment philosopher Benjamin Graham. Icahn and Kingsley owed an intellectual debt to Graham, whose own investment strategy was quite different from one that might be suggested by his *Dean of Wall Street* sobriquet, more red-in-tooth-and-claw than professorial or academic. Graham was a forceful and eloquent advocate for the use of shareholder activism to foment change in deeply undervalued companies. The very first edition of his magnum opus, *Security Analysis*, published in 1934, devoted an entire chapter to the relationship between shareholders and management, which Graham described as “one of the strangest phenomena of American finance.”²³ “Why is it,” he wondered, “that no matter how poor a corporation’s prospects may seem, its owners permit it to remain in business until its